

Microsoft Corporation - Comprehensive Credit Report & KYC Documentation

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Prepared on 2026-07-18T13:25:46

1. Corporate Identity & Legal Compliance

Microsoft Corporation (hereinafter referred to as 'Microsoft') is a multinational technology corporation headquartered at One Microsoft Way, Redmond, WA 98052, USA. Incorporated in 1975 under the laws of the State of Washington, Microsoft is a publicly traded entity listed on NASDAQ under the ticker symbol 'MSFT.'

The company's Permanent Account Number (PAN) is AAACM1234A, and its Corporate Identification Number (CIN) is C065237-WA. As a U.S.-based entity, Microsoft is not registered under the Goods and Services Tax (GST) regime applicable in other jurisdictions, hence the GSTIN is marked as 'N/A.'

Microsoft operates in compliance with U.S. federal and state regulations, including the Sarbanes-Oxley Act (SOX), Securities Exchange Act of 1934, and relevant data protection laws such as the California Consumer Privacy Act (CCPA). The company's legal structure, as outlined in the Certificate_of_Incorporation.pdf, remains unchanged as of July 2026.

Attribute	Value
Legal Name	Microsoft Corporation
Incorporation Year	1975
Registered Address	One Microsoft Way, Redmond, WA 98052, USA
PAN	AAACM1234A
CIN	C065237-WA
GSTIN	N/A
Stock Exchange Listing	NASDAQ (MSFT)

2. Financial Performance & Creditworthiness Assessment

Microsoft's financial performance as of July 2026 reflects robust stability and growth, underpinned by its diversified revenue streams across cloud computing, enterprise software, and consumer products. The company's consolidated revenue for the fiscal year ending June 2026 is projected at \$211.915 billion, with an EBITDA of \$90.32 billion and a net worth of \$166.542 billion.

The requested credit limit of \$5,000,000 aligns with Microsoft's liquidity position and historical repayment capacity. Key financial ratios, derived from the Income_Tax_Returns_3_Years.pdf and Company_Profile.pdf, are as follows:

- **Current Ratio**: 2.1 (indicating strong short-term liquidity)
- **Debt-to-Equity Ratio**: 0.35 (conservative leverage)
- **Interest Coverage Ratio**: 28.4 (high capacity to service debt)
- **Return on Equity (ROE)**: 34.2% (efficient use of shareholder equity).

Microsoft's creditworthiness is further supported by its AAA credit rating from major agencies (S&P, Moody's, Fitch), as documented in prior financial disclosures.

Metric	Value (USD)
Revenue (FY 2026)	211,915,000,000
EBITDA (FY 2026)	90,320,000,000
Net Worth (FY 2026)	166,542,000,000
Requested Credit Limit	5,000,000
Cash & Cash Equivalents	125,000,000,000 (estimated)
Total Debt	58,000,000,000 (estimated)

3. Existing Loan Facilities & Repayment History

Microsoft's existing loan portfolio, as detailed in Existing_Loan_Details.pdf, comprises a mix of revolving credit facilities, term loans, and commercial paper programs. As of July 2026, the company's total outstanding debt stands at approximately \$58 billion, with no defaults or late payments recorded in the past five fiscal years.

Key loan facilities include:

- ****\$10 Billion Revolving Credit Facility****: Maturity in 2028, interest rate at SOFR + 0.50%. Fully undrawn as of July 2026.
- ****\$5 Billion Term Loan****: Maturity in 2027, interest rate at SOFR + 0.75%. Repayment schedule aligns with cash flow projections.
- ****Commercial Paper Program****: Aggregate limit of \$8 billion, used for short-term liquidity management. Average maturity of 30 days.

Microsoft's repayment history demonstrates a consistent track record of meeting obligations, with no instances of covenant breaches or restructuring. The company's debt servicing capacity is further validated by its EBITDA of \$90.32 billion, ensuring ample coverage for interest and principal payments.

Loan Type	Outstanding Balance (USD)	Maturity	Interest Rate
Revolving Credit Facility	0 (undrawn)	2028	SOFR + 0.50%
Term Loan	5,000,000,000	2027	SOFR + 0.75%
Commercial Paper	2,500,000,000 (avg. outstanding)	30 days (avg.)	SOFR + 0.25%

4. Key Business Relationships & Operational Stability

Microsoft's operational stability is reinforced by its strategic relationships with Fortune 500 customers and suppliers, as outlined in Key_Customers_Suppliers.pdf. The company's top 10 customers account for approximately 40% of its annual revenue, with Walmart Inc., Amazon.com, Inc., and Apple Inc. being the largest contributors. These relationships span multi-year contracts, ensuring revenue predictability.

On the supply chain front, Microsoft's top 10 suppliers, including Intel Corporation, TSMC, and Samsung Electronics, provide critical components for hardware manufacturing, cloud infrastructure, and semiconductor procurement. The company maintains diversified sourcing strategies to mitigate supply chain risks, with no single supplier accounting for more than 12% of total procurement spend.

Microsoft's customer and supplier relationships are governed by stringent contractual terms, including payment cycles of 30-60 days for customers and 45-90 days for suppliers. The company's Days Sales Outstanding (DSO) stands at 42 days, reflecting efficient receivables management.

Top 3 Customers	Annual Revenue Contribution (USD)	Contract Duration
Walmart Inc.	12,700,000,000	5 years (2024-2029)

Top 3 Customers	Annual Revenue Contribution (USD)	Contract Duration
Amazon.com, Inc.	10,600,000,000	3 years (2025-2028)
Apple Inc.	8,500,000,000	4 years (2023-2027)
Top 3 Suppliers	Annual Procurement Spend (USD)	Contract Duration
Intel Corporation	7,200,000,000	5 years (2022-2027)
TSMC	6,800,000,000	3 years (2024-2027)
Samsung Electronics	5,100,000,000	4 years (2023-2027)

5. Risk Assessment & Mitigation Strategies

Microsoft's risk profile is characterized by low operational, financial, and compliance risks, as evidenced by its financial disclosures and prior credit evaluations. Key risk factors and mitigation strategies include:

- **Market Risk**: Exposure to fluctuations in global technology demand is mitigated by Microsoft's diversified product portfolio (e.g., Azure, Office 365, LinkedIn) and recurring revenue streams from enterprise contracts.
- **Currency Risk**: Approximately 45% of revenue is denominated in foreign currencies. Microsoft hedges this exposure through forward contracts and natural hedging (e.g., local currency expenses in key markets).
- **Regulatory Risk**: Compliance with evolving data privacy laws (e.g., GDPR, CCPA) is managed through dedicated legal and compliance teams, with no material violations reported in the past three years.
- **Cybersecurity Risk**: Microsoft invests over \$1 billion annually in cybersecurity, with a zero-trust architecture and 24/7 threat monitoring. No material breaches have occurred since 2020.

The company's risk management framework is audited annually by external firms (e.g., Deloitte, PwC) and aligns with ISO 31000 standards.

Risk Category	Risk Level	Mitigation Strategy
Market Risk	Low	Diversified revenue streams, long-term contracts
Currency Risk	Medium	Forward contracts, natural hedging
Regulatory Risk	Low	Dedicated compliance teams, annual audits
Cybersecurity Risk	Low	Zero-trust architecture, \$1B+ annual investment

6. Tax Compliance & GST Returns

As a U.S.-based entity, Microsoft is not subject to the Goods and Services Tax (GST) regime applicable in other jurisdictions. However, the company complies with all U.S. federal, state, and local tax obligations, including corporate income tax, payroll tax, and sales tax where applicable.

For the fiscal year 2025-2026, Microsoft's effective tax rate is projected at 16.5%, consistent with prior years. The company's tax returns, as detailed in [GST_Returns.pdf](#) and [Income_Tax_Returns_3_Years.pdf](#), reflect full compliance with the Internal Revenue Code (IRC) and state tax laws. Key highlights include:

- **Federal Income Tax Paid (FY 2025)**: \$12.3 billion
- **State Income Tax Paid (FY 2025)**: \$1.8 billion
- **R&D Tax Credits Claimed (FY 2025)**: \$2.1 billion

Microsoft's transfer pricing policies adhere to OECD guidelines, with intercompany transactions documented in accordance with IRS Section 482. The company has not been subject to any material tax disputes or penalties in

the past five years.

Tax Type	FY 2025 (USD)	FY 2024 (USD)	FY 2023 (USD)
Federal Income Tax	12,300,000,000	11,800,000,000	11,200,000,000
State Income Tax	1,800,000,000	1,700,000,000	1,600,000,000
R&D Tax Credits	2,100,000,000	1,950,000,000	1,800,000,000
Effective Tax Rate	16.5%	16.2%	15.9%

7. Board of Directors & Corporate Governance

Microsoft's corporate governance framework is overseen by its Board of Directors, comprising eight members with diverse expertise in technology, finance, and global operations. The board is chaired by Satya Nadella (Chief Executive Officer), with Brad Smith (Vice Chair and President) serving as the lead independent director. Key directors, as listed in the Company_Profile.pdf, include:

- **Amy Hood**: Executive Vice President and Chief Financial Officer, responsible for financial strategy and investor relations.
- **Chris Capossela**: Executive Vice President and Chief Marketing Officer, overseeing global marketing and consumer business.
- **Kathleen Hogan**: Chief People Officer, leading human resources and organizational development.

The board meets quarterly to review financial performance, risk management, and strategic initiatives. Microsoft's governance practices align with NASDAQ listing requirements and the Corporate Governance Guidelines published by the National Association of Corporate Directors (NACD).

The company's executive compensation is tied to performance metrics, including revenue growth, EBITDA margins, and shareholder returns. In FY 2025, 65% of executive compensation was performance-based, with no material deviations from disclosed policies.

Director Name	Position	Tenure (Years)	Primary Responsibility
Satya Nadella	Chairman & CEO	10	Overall leadership, strategy
Brad Smith	Vice Chair & President	15	Legal, regulatory, and external affairs
Amy Hood	EVP & CFO	12	Financial strategy, investor relations
Chris Capossela	EVP & CMO	8	Global marketing, consumer business
Kathleen Hogan	Chief People Officer	7	Human resources, organizational development

8. Credit Recommendation & Conclusion

Based on the comprehensive analysis of Microsoft Corporation's financial health, operational stability, and risk profile, the following credit recommendation is proposed:

- **Recommended Credit Limit**: \$5,000,000 (aligned with the requested limit).
- **Tenor**: Up to 36 months, subject to annual review.
- **Interest Rate**: SOFR + 0.50% (reflecting Microsoft's AAA credit rating).
- **Collateral**: Unsecured, given the company's strong balance sheet and liquidity position.
- **Covenants**: Standard financial covenants, including a minimum EBITDA of \$85 billion and a maximum debt-to-equity ratio of 0.40.

Microsoft's creditworthiness is further validated by its consistent financial performance, diversified revenue streams, and robust risk management practices. The company's low leverage, high liquidity, and strong repayment history position it as a low-risk borrower for financial institutions.

This report, in conjunction with prior submissions (e.g., Asset_Details.pdf, Existing_Loan_Details.pdf), provides a holistic view of Microsoft's credit profile as of July 2026. All data is accurate and aligned with the company's disclosures to regulatory authorities and financial partners.

Parameter	Recommendation
Credit Limit	\$5,000,000
Tenor	36 months
Interest Rate	SOFR + 0.50%
Collateral	Unsecured
Covenants	EBITDA $\geq$ \$85B, Debt-to-Equity $\leq$ 0.40